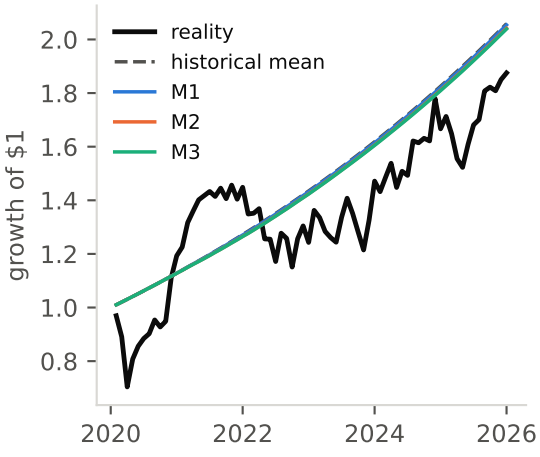
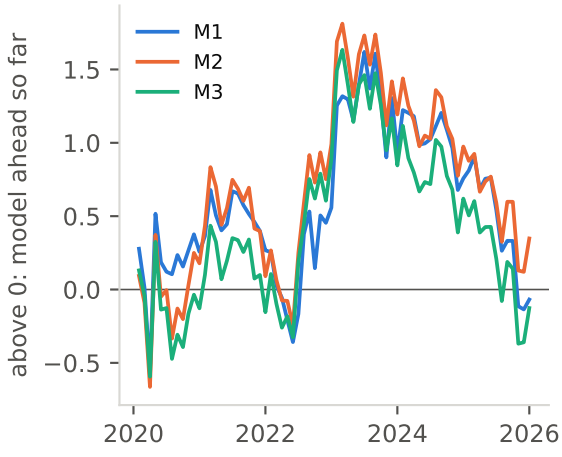
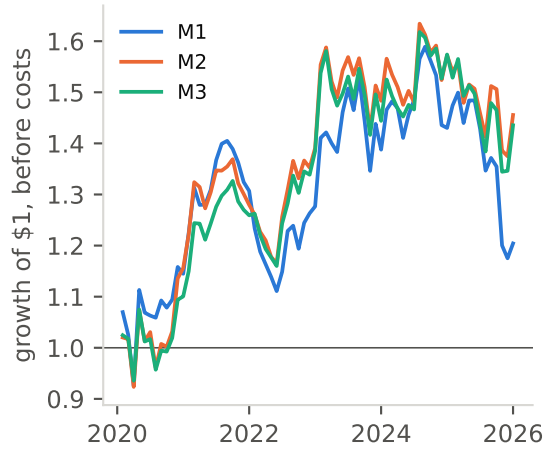

(a) Value of $1 in the average stock
reality
historical mean
M1
M2
M3
growth of $1
2.0
1.8
1.6
1.4
1.2
1.0
0.8
2020
2022
2024
2026


(b) Cumulative error saved vs. mean
M1
M2
M3
above 0: model ahead so far
1.5
1.0
0.5
0.0
−0.5
2020
2022
2024
2026


(c) Long top 10%, short bottom 10%
M1
M2
M3
growth of $1, before costs
1.6
1.5
1.4
1.3
1.2
1.1
1.0
0.9
2020
2022
2024
2026